

Market Watch

Fed holds rates; Powell flags inflation concerns

Summary

Event: The Fed held its policy rate at 3.75% for the second straight meeting, as widely expected, while maintaining its projection for one more rate cut in 2026. Fed Chair Powell voiced concern about the slow progress in lowering inflation even before the Middle East conflict erupted, as the central bank revised up its forecasts for inflation and growth for 2026-27. The rate sensitive US two-year government bond yield jumped 10bps to 3.77%, the USD index rose 0.5%, while the S&P500 index slumped 1.4% to a four-month low. Markets are pricing less than 60% chance of a rate cut by end-2026.

Our View: Under our base scenario of a short-lived Middle East conflict, followed by an economic soft-landing, we expect the Fed to hold rates in H1 as it looks through a near-term rise in inflation. We then expect it to cut rates by 50bps in H2 as it focusses on reviving a stagnant job market.

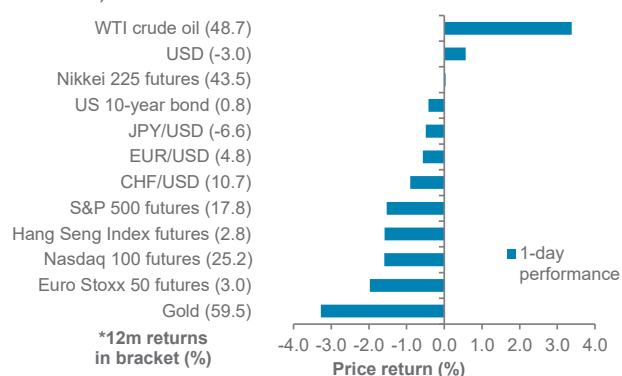
Investment strategy: stay diversified, preference for US assets, hedge against inflation. With the Middle East situation fluid, a diversified allocation with a tilt towards USD assets remains prudent, given the US is likely to be the least impacted from higher oil prices since it's a net oil exporter. US corporate earnings estimates have been revised higher lately, underlining solid fundamentals. US inflation-protected bonds, energy-based currencies (CAD, AUD, NOK) and gold remain key hedges against inflation and geopolitical risks.

Fed's new 'dot plot' projections

Fed lifts growth, inflation projections. The Fed's "dot plot" survey of members' projections showed a median forecast of one 25bps rate cut by end-2026 and one more cut in 2027. It lifted growth and core PCE inflation estimates for 2026 to 2.4% and 2.7% for 2026, respectively. Powell said the Fed is willing to see through a short spike in inflation due to oil prices and prior tariffs as it assesses the impact of the Middle East conflict, provided inflation expectations remain anchored.

The USD rose with bond yields as Fed Chair Powell voiced concerns about inflation as oil prices jumped

1-day asset performance: 17-Mar close to 19-Mar (9AM HKT/SGT)



Source: Bloomberg, Standard Chartered

The Fed revised higher its growth and inflation estimates for 2026-27, while maintaining its projection for one rate cut in 2026 and another cut in 2027

Fed's new vs. old economic and policy rate projections

Dates	GDP		Unemployment		Core PCE		Rates estimates	
	Old	New	Old	New	Old	New	Old	New
2026	2.3	2.4	4.4	4.4	2.5	2.7	3.4	3.4
2027	2.0	2.3	4.2	4.3	2.1	2.2	3.1	3.1
2028	1.9	2.1	4.2	4.2	2.0	2.0	3.1	3.1
LR*	1.8	2.0	4.2	4.2			3.0	3.1

Source: Bloomberg, Standard Chartered

Base scenario

We see 50bps of Fed rate cuts this year. Our base case (60% probability) is that the US economy achieves a soft-landing this year. A short-lived Middle East conflict would temporarily raise US energy costs, hurt real disposable income and spending without causing a sustained inflation shock. Nevertheless, the US is likely to be more resilient than other major economies, given it's the world's largest oil producer and a net oil exporter. Moreover, an estimated USD 160bn of tax refunds in Q1 due to last year's tax cuts should partly offset the hit to household wallets from higher oil prices, sustaining consumption. Also, AI-driven investment is likely to pick up this year, enabling economic growth to settle below long-term trend. Any rollback in tariffs heading into November mid-term elections would provide further support to growth.

There is low risk of a wage spiral, since the US job market was close to stalling before the conflict and is much weaker than during the 2022 energy shock caused by the Ukraine conflict. US consumer sentiment remains near post-pandemic lows, while long-term inflation expectation remains low, although near-term inflation expectations have spiked with oil prices.

Against this backdrop, we expect the Fed to hold rates in H1 as it looks through a brief energy-led inflation upturn. A delay in Fed rate cuts is likely to put further downward pressure on the job market. This, in turn, is likely to push the central bank, under incoming Chair Kevin Warsh (subject to Senate confirmation), to turn dovish in H2 as oil price-driven inflation fades and the focus turns to reviving the weak job market. We expect the Fed to deliver 50bps of cuts in H2 vs. market expectations of a 25bps cut.

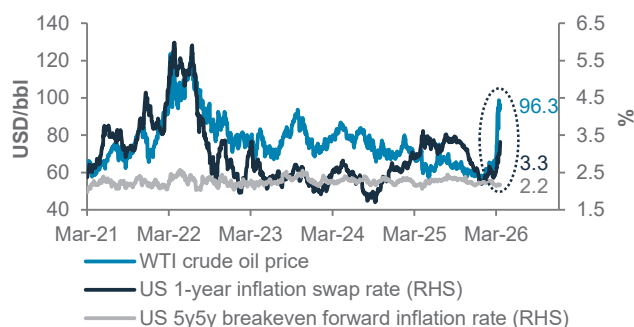
Downside and upside risk scenarios

There is a rising risk (25% probability) of a hard landing in the US economy, especially with the start of the Middle East conflict. A prolonged conflict would keep oil prices higher for longer, delaying Fed rate cuts and further impairing the US job market. A stock market downturn hurting investor confidence, or a bond market sell-off on inflation concerns and/or debt concerns are other tail risks.

On the upside, we assign 15% probability to a scenario that US tax and Fed rate cuts, against the backdrop of fiscal easing in Germany and China, and a potential rollback of US tariffs could revive "animal spirits", provided the Middle East conflict is short-lived. A Russia-Ukraine peace deal, a US-China "grand bargain" or EU-wide defence spending could potentially lift global growth prospects, improving the outlook for US exports.

US short-term inflation expectations have risen with the surge in oil prices, but long-term inflation expectations remain subdued

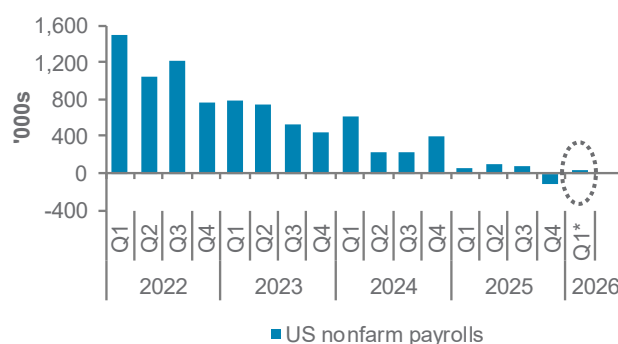
WTI crude oil price, 1-year and 5-year market-based inflation expectations



Source: Bloomberg, Standard Chartered

US job creation had virtually stalled before the start of the Middle East conflict; we expect the Fed to cut rates by 50bps in H2 to revive the flagging job market

US quarterly net job creation



Source: Bloomberg, Standard Chartered; Q1 2026 reflects January and February net nonfarm payrolls

What does this mean for investors?

Stay diversified, with a US tilt: A diversified allocation, with a tilt towards US assets remains justified, given heightened Middle East risks. The US economy is likely to be relatively less impacted from the conflict, compared with Europe and Asia, given its limited exposure to Middle East energy sources, significantly reduced energy intensity (US oil consumption per unit of real GDP has fallen by almost 70% since 1980) and because it is a net oil exporter.

US equity valuations turn attractive. US corporate earnings estimates have been revised higher in recent weeks, despite the pullback in equities due to the Middle East conflict. This has made US equity valuations more attractive, especially if the conflict proves short-lived (our base case) and oil prices fall back towards USD 70-80/bbl. The robust US earnings outlook is led by the tech-sector which is benefitting from structurally strong AI-related investments.

Maintain inflation hedges: US energy equities and inflation-protected bonds remain key hedges against an oil-led inflation spike. Although gold has pulled back from near-record highs in recent weeks amid USD strength, history shows it is one of the best hedges against stagflation risks. We have a 6% allocation to gold in our balanced allocation. Oil and commodity-based currencies such as CAD, NOK and AUD are likely to benefit, while Asian oil importer currencies are likely to remain under pressure in the short term.

Await opportunity to lock in bond yields. The negative growth impact of higher oil prices is limiting how high bond yields can rise. Any sign of the conflict ending would likely lead to a pullback in US bond yields and the USD. In that scenario, markets are likely to refocus on expected policy divergence, with the Fed cutting rates later this year to support a flagging job market, while other central banks hold (ECB) or hike (BoJ, RBA) rates. We expect the USD index (DXY) to end the year around 96, almost 4% weaker than today, while the US 10-year government bond falls towards 3.75-4.0% range.

Next focus: Apart from Middle East developments and the shape of the oil price curve, US jobless claims and inflation expectation indicators will be closely watched for the initial impact of the conflict.

The US job market has been fragile since Q4 last year – any signs of cracks would likely bring forward expectations of Fed rate cuts. Conversely, a rise in long-term inflation expectations in the event of a prolonged shutdown of the Hormuz strait would revive rate hike expectations, especially given the Fed's experience of falling behind curve in the aftermath of the Ukraine conflict in 2022.

— **Rajat Bhattacharya**, Senior Investment Strategist

The USD and US bond yields have risen amid rising near-term inflation expectations; we expect USD and bond yields to fall back as growth concerns return

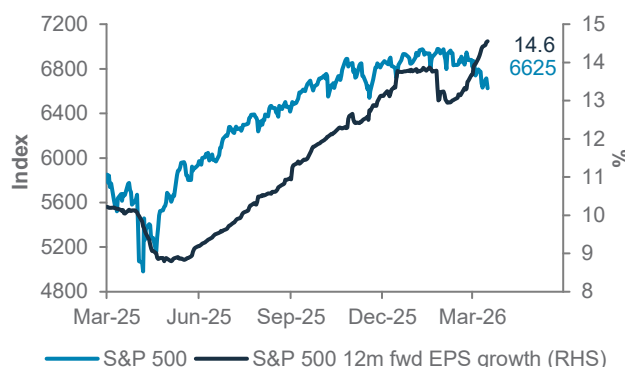
USD index (DXY) and US 10y, 30y government bond yields



Source: Bloomberg, Standard Chartered

US equity valuations have turned attractive as stocks have declined in recent weeks, despite a rebound in earnings growth estimates

S&P500 and 12-month forward EPS growth



Source: Bloomberg, Standard Chartered

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Market Watch

Enduring FX Characteristics in Volatile Markets

Summary

Event: Recent bouts of market turbulence have underscored the crucial role of strategic currency management within clients' portfolios. This foreign exchange (FX) playbook aims to provide enduring perspectives on the structural features that define major currency groupings, offering a framework to contextualise recent volatility and inform resilient FX positioning. Our focus is on the lasting traits that underpin the behaviour of safe-haven and commodity currencies.

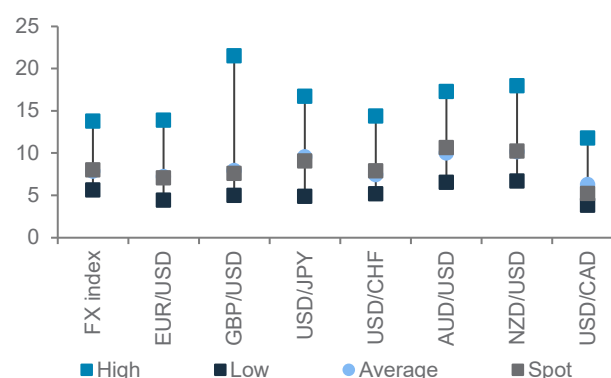
Safe-Haven Currencies: CHF, JPY, and USD

The Swiss franc (CHF), Japanese yen (JPY) and US dollar (USD) are widely recognised as the world's pre-eminent safe-haven currencies. Their status is rooted in a combination of i) high liquidity, ii) global reserve currency roles and iii) robust capital flow dynamics.

- **Liquidity and Market Depth:** All three currencies benefit from highly liquid financial markets and deep pools of capital. The USD, in particular, underpins the vast majority of global trade and financial transactions, ensuring ready access and minimal transaction costs even during periods of stress.
- **Reserve Status:** The USD remains the dominant global reserve currency, held by central banks worldwide as a store of value and a tool for stabilising local economies. The CHF and JPY, while smaller in scale, are also favoured for their perceived stability, with the former benefiting from Switzerland's reputation for prudent fiscal management.
- **Capital Flows & Economic Fundamentals:** In times of uncertainty, investors seek refuge in currencies backed by strong institutional frameworks and stable inflation and political environments. The Swiss and Japanese economies are renowned for their current account surpluses and conservative policy settings, while the US

FX volatility range varies yet wide

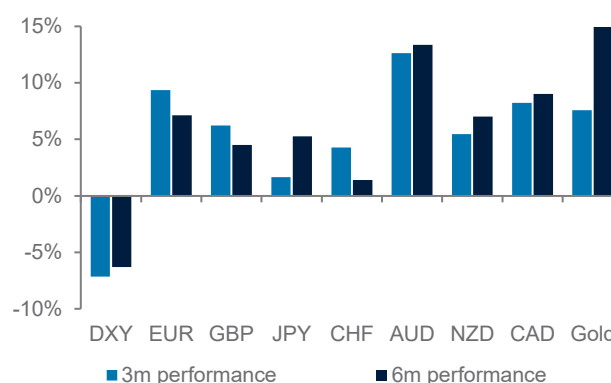
Major currencies' volatility range



Source: Bloomberg, Standard Chartered

During the 2003 Iraq conflict, major currencies rose but USD fell

Major currencies' 3m & 6m performance after 20 March 2003



Source: Bloomberg, Standard Chartered

benefits from its outsized influence on global finance and geopolitics.

In practical terms, these attributes mean that CHF, JPY and USD often appreciate during risk-off episodes, providing a natural hedge for portfolios exposed to riskier assets or Emerging Markets (EMs).

Risk: The degree of currency strength can vary based on the specific nature of the shock and prevailing global conditions.

For example, the recent shock in currency markets has been driven primarily by concerns over oil supply, stemming from the ongoing Middle East conflict. Japan, as one of the world's largest importers of crude oil, is particularly exposed to these risks, as it sources around 95% of its crude oil and 11% of its liquefied natural gas (LNG) from the Middle East. Notably, approximately 70% of this oil is transported via the Strait of Hormuz, a route vulnerable to disruption during periods of regional instability. Consequently, amid the heightened volatility and uncertainty in the Middle East, the JPY is not likely to serve as the most dependable safe-haven currency, given Japan's increased susceptibility to energy import supply and transit risks.

How to manage CHF leverage?

Since CHF has appreciated this year, clients with CHF-denominated loans are seeing increased debt burdens relative to their base currency. The recent USD rebound eased pressure slightly, but volatility remains a risk. Any short-term rebounds are likely to stall near 0.78, a level that has held several times in recent months, suggesting further downside. Any direct Swiss National Bank (SNB) intervention in FX markets or a move towards negative interest rates remain risks to our view. We expect diversified carry strategies to outperform concentrated ones.

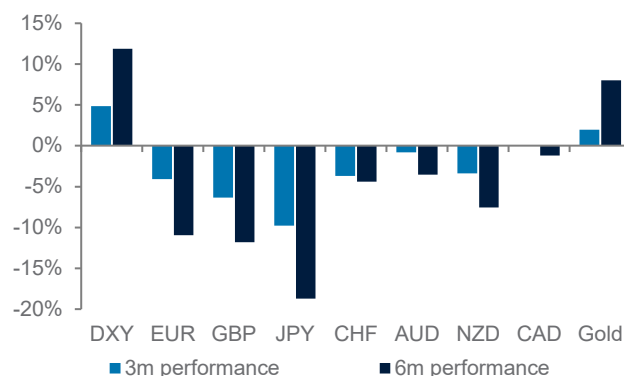
Commodity Currencies: AUD, NZD, and CAD

The **AUD** is predominantly influenced by the export of minerals such as iron ore, coal and gold, as Australia is a major global supplier of these resources. The **NZD**, in contrast, is tied to agricultural commodities, especially dairy products, meat and wool, reflecting New Zealand's status as a leading exporter in these sectors. The **CAD** is most sensitive to oil prices, as Canada is one of the world's top oil exporters, alongside its notable exports of metals and timber

These currency-commodity linkages arise because fluctuations in the prices of these key exports directly impact national income, trade balances and foreign investment flows. When commodity prices rise, these economies typically see increased export revenues and stronger currencies, while declines in prices can lead to weaker economic performance and depreciating currencies. As a result, the AUD, NZD and

At the beginning of the 2022 Russia-Ukraine conflict, major currencies fell but USD rose

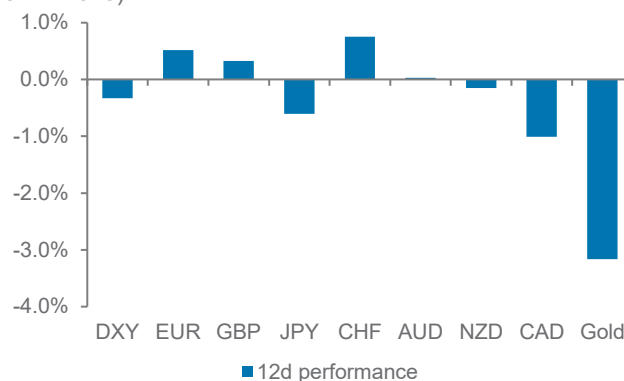
Major currencies' 3m & 6m performance after 24 February 2022



Source: Bloomberg, Standard Chartered

During the 12-day Israel-Iran conflict in 2025, major currencies varied and USD fell

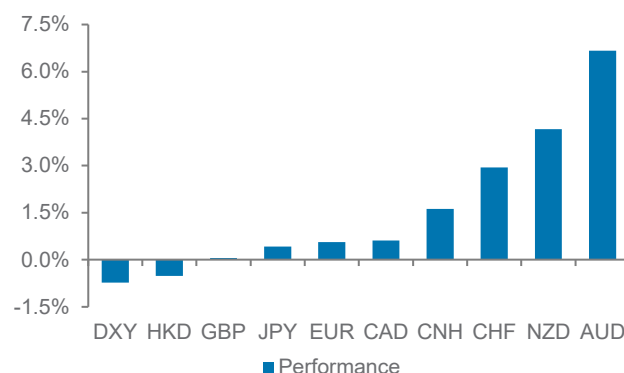
Major currencies' performance during the period (13-24 June 2025)



Source: Bloomberg, Standard Chartered

Before 2026 Middle East Conflict

Major currencies' performance



Source: Bloomberg, Standard Chartered

CAD often move in tandem with the fortunes of the commodities most central to their respective economies.

Risk: The currency-commodity relationship is not perfectly linear. Factors such as monetary policy and global risk appetite also play a role.

Portfolio Implications: Enduring Features and USD Strength

Understanding these structural currency characteristics is essential for constructing resilient FX portfolios. In the current environment, marked by pronounced USD strength, several practical implications emerge:

- **Diversification Benefits:** Allocating to a mix of safe-haven and commodity currencies can enhance portfolio diversification, as their drivers often differ and may respond inversely to global shocks.
- **Risk Mitigation:** Exposure to safe-haven currencies can provide a buffer during risk-off periods, while commodity currencies may offer upside in cyclical recoveries or when commodity prices surge.
- **USD Considerations:** Sustained USD appreciation can pose challenges for global portfolios, particularly those with unhedged exposure to emerging or commodity-linked currencies. Rebalancing strategies and selective hedging can help manage these risks while capturing opportunities presented by currency misalignments.

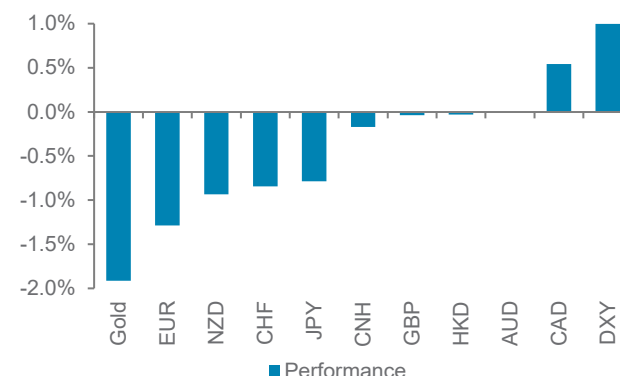
Key Takeaways

The enduring features that distinguish safe-haven and commodity currencies provide a valuable lens for interpreting FX market moves, especially amid heightened volatility. By focusing on liquidity, reserve status, capital flows and the economic underpinnings of commodity exporters, investors can better navigate currency risks and position their portfolios for resilience and opportunity across cycles. Maintaining a disciplined approach grounded in the evergreen insights we've discussed is vital, regardless of the prevailing market narrative.

— **Jonathan Liang, CFA**, CIO – Fixed Income & FX
— **Iris Yuen**, Investment Strategist

After 2026 Middle East Conflict

Major currencies' performance



Source: Bloomberg, Standard Chartered

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Market Watch

Oil surges above USD 100/bbl

Summary

Event: US crude oil prices soared above USD 100/bbl, to the highest level since the early days of the Ukraine conflict in 2022, after several Gulf oil producers started to shut production as they ran out storage. Meanwhile, the US and Iran hardened their positions, raising the risk of a prolonged conflict. Stocks and bonds slumped further, while the USD extended gains.

Our View: The impact of the Middle East conflict will depend on how long the disruption in the Strait of Hormuz lasts, with almost 20% of global oil and gas shipped through the strait. While we continue to see a 70% chance the conflict will ease in weeks, there is rising risk the impact on energy markets could be more prolonged, hurting growth and lifting inflation this year (the so-called stagflation scenario).

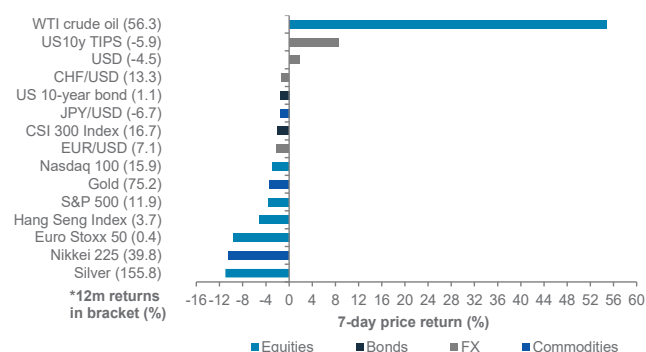
Investment strategy: Since the outlook remains fluid, a prudent strategy would involve a diversified allocation, with a slight preference for USD assets (given the US status as a net oil exporter). US energy, aerospace and defence and utilities sector equities and US inflation-protected bonds should offer partial hedges if oil prices remain elevated. Gold has historically outperformed most assets in stagflation scenarios.

Hardened positions, halting oil production

The US and Iran hardened their positions. US President Trump said over the weekend he is considering targeting Iran's nuclear facilities, adding short-term oil price spikes are "a very small price to pay". Meanwhile, Iran named Mojtaba Khamenei, the son of Ayatollah Ali Khamenei who was killed last week, as its next Supreme Leader. The hardening of stance and continued attack on energy infrastructure across

Crude oil prices surged above USD 100/bbl; US inflation-protected bonds and USD have gained, while Asian and European stocks have underperformed

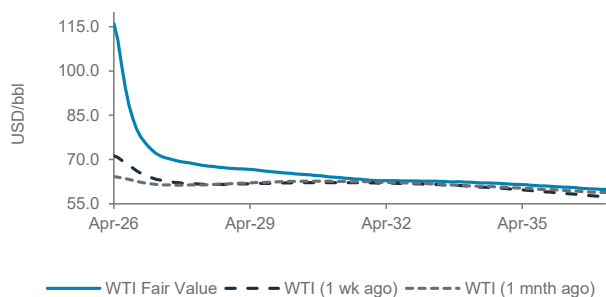
Asset performance: 27-Feb close to 9-Mar (1PM HKT)



Source: Bloomberg, Standard Chartered

We expect oil prices to fall back below USD 100/bbl in the coming weeks as the conflict de-escalates; this view is aligned with oil futures markets

WTI crude oil futures price curve



Source: Bloomberg, Standard Chartered

the region raises the risk the Hormuz strait remains out of bounds for oil and gas tankers for weeks.

Production halts start amid storage capacity shortage.

Over the weekend, Iraq, the UAE and Kuwait announced production shutdown in key oil and gas facilities as storage capacity starts to run out. Qatar has already closed the world's largest LNG facility, taking a fifth of global LNG offline. The Gulf region accounts for a third of global oil supplies.

Rising inflation, slowing growth risks. The International Monetary Fund (IMF) said a 10% rise in energy prices for a year lifts global inflation by 40bps and slows economic growth by 0.1-0.2%. WTI oil prices have almost doubled from last year's average USD 65/bbl to near-USD 120/bbl this morning. The IMF said oil importing and low-income countries would be the worst impacted from elevated prices.

Base scenario

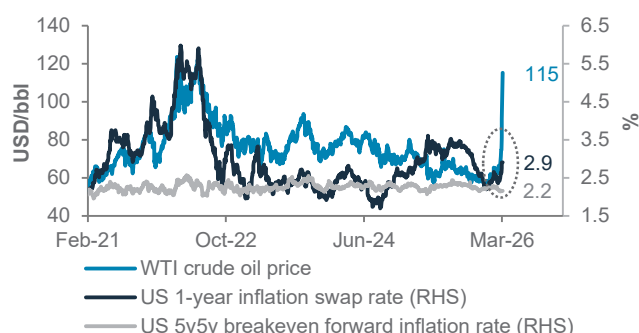
Short Iran conflict; oil prices fall back after near-term spike: Oil futures markets remain in backwardation (elevated near-term prices and lower-than-USD 100/bbl oil from June 2026), suggesting markets expect the impact of the conflict to be short-lived. This differs from the Ukraine conflict, when oil prices stayed above USD 100/bbl for almost five months.

This aligns with our view of a 70% probability that the conflict is likely to last for a few weeks, rather than months, due to: a) Iran's severely depleted military capacity; b) US plans to provide military support and insurance coverage to restart shipping through the Hormuz strait; c) Trump's limited tolerance for a prolonged conflict ahead of mid-term elections; and d) potential pressure from China on Iran to restart talks (China, and Asia, among the most impacted from prolonged conflict, given dependence on Middle East oil and gas).

Moreover, today's macro landscape is different from 2022 when the Ukraine conflict started – Europe's energy supplies are significantly more diversified (with the US a key source).

US short-term and long-term inflation expectations remain subdued despite surge in oil prices

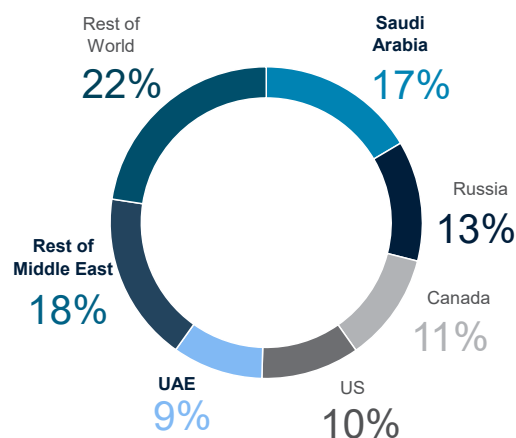
WTI crude oil price, 1-year and 5-year market inflation expectations



Source: Bloomberg, Standard Chartered

The Gulf countries are the source of more than a third of global oil exports

Share of various regions in world oil exports



Source: Bloomberg, Standard Chartered

The OECD countries and China have sufficient oil reserves to meet demand for months. G7 countries are reportedly considering releasing some of their oil reserves. Also, inflation is on a downtrend globally, unlike in 2022 when the world was facing pandemic-related supply bottlenecks and inflation was on an uptrend. These factors suggest oil prices are unlikely to stay elevated for a prolonged period and are likely to fall back towards USD 70-80bbl in a few months, if not weeks.

Risk scenario

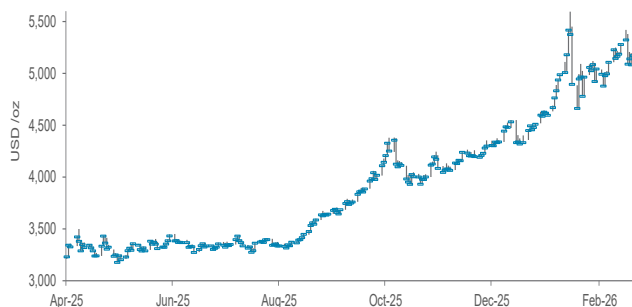
Prolonged Iran conflict: While not our base case, there is a 30% chance that Iran leverages its low-cost drones to sustain attacks on key energy targets across the Middle East, stalling shipping traffic through the Hormuz strait for months. UAE, Kuwait and Iraq have already started to cut oil output as they run out of storage as the Hormuz strait is perceived to be unsafe for tankers. This scenario would see oil staying above USD 100/bbl for months, similar to the aftermath of the start of the Ukraine conflict in 2022.

Such an outcome would raise global gasoline prices and inflation expectations, while hurting real incomes and consumption, increasing stagflation risks. This scenario would delay central bank rate cuts or, in the extreme case, force many Emerging Market central banks to hike rates. In the US though, we expect this outcome to hurt an already fragile US job market (US payrolls surprisingly contracted in February, before the conflict escalated), forcing the Fed to eventually step in and cut rates, albeit later than current estimates i.e. Fed cuts more likely pushed back to next year in this scenario.

There is also the tail risk (~5% chance) that Trump caps US oil prices, given US's status as the world's largest oil producer (accounting for a fifth of global output) and a net oil exporter. US shale output would become profitable and rise if

Gold remains a critical tactical and structural portfolio hedge amid geopolitical uncertainty and stagflation risks

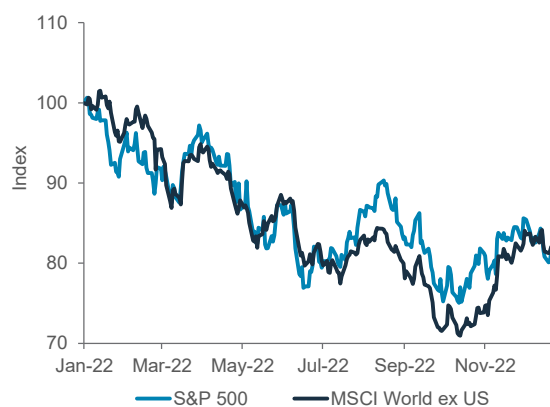
Gold price



Source: Bloomberg, Standard Chartered

During the 2022 drawdown, global and US equities global equities declined between 25-30% from peak to trough

S&P500 and MSCI World ex-US equity indices (Index: 100 = 1 Jan 2022)



Source: Bloomberg, Standard Chartered

the price cap is set above USD 65/bbl, based on breakeven price for shale producers according to a Dallas Fed survey.

Investment Strategy

Stay diversified, avoid concentration, build hedges: USD assets broadly, US energy equities and inflation-protected bonds are among the key hedges against an oil-led inflation spike. US energy equities offer moderately high correlation with oil prices. Any cap in US oil prices would benefit non-energy stocks and hurt energy and materials sectors, though.

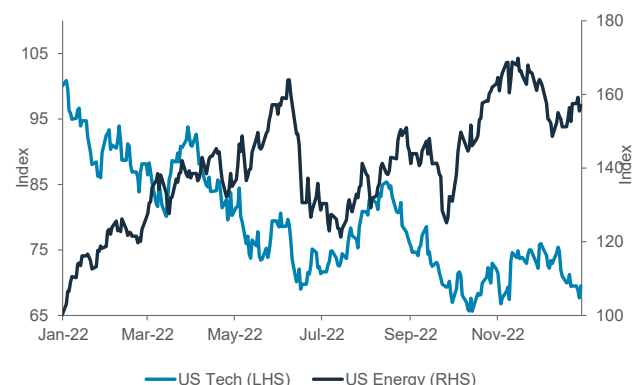
Gold, oil-based currencies to benefit as well. Although gold pulled back last week from near-record highs amid USD strength, history shows it is one of the best hedges against stagflation risks. We have a 6% allocation to gold in our balanced allocation. Oil and commodity-based currencies such CAD, NOK and AUD are likely to benefit, while Asian oil importer currencies are likely to weaken, in the short term.

Next focus: Apart from Middle East developments and the shape of the oil price curve, February's US consumer inflation report, due on Wednesday will be the next focus. The consensus estimates US inflation remained steady heading into the conflict (consensus for core inflation: 0.2% m/m, 2.5% y/y). Higher-than-expected inflation and inflation expectations would likely further push back chances of another Fed rate cut and increase near-term stagflation concerns.

— **Rajat Bhattacharya**, Senior Investment Strategist

US energy sector equities benefitted from higher oil prices in 2022, while the tech sector fell

US tech and energy sector equity performance in 2022



Source: Bloomberg, Standard Chartered

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